the 3-4% interest that would be typically offered on such deposits earlier. These deposits will mature in three to five years, potentially creating a large outflow of dollars at a time when global and domestic conditions could be very different.

The RBI had used a similar swap window in 2013, when the rupee was under severe pressure after the US Federal Reserve signalled that it could begin tapering its bond-buying programme. The FCNR(B) swap window then helped banks mobilise about $26 billion of foreign-currency deposits, giving the central bank access to dollars when the country was facing a sharp deterioration in external financing conditions.

Experts are divided over whether the latest FCNR(B) move was warranted at this point.

Prasanna Tantri, Associate Professor, Finance, Indian School of Business, says the FCNR(B) move made sense in 2013, when the currency collapsed around 20%, current account deficit was close to 5%, and there was a lack of confidence in the country. There was no reason for such an emergency measure this time, he says.

"There was no forex issue this time. Even if you were to take out the forward short positions of RBI, your forex reserves would still be $500-600 billion (in June when the window was opened)," he says. "Other than the rupee probably touching 100 to the US dollar, I don't see any calamity that could have happened. So, there was absolutely no reason for such an emergency measure this time around." He says the RBI could have taken a more common measure like raising interest rates, which some other countries used to stabilise the currency. Bank Indonesia, for instance, raised its interest rates by 100 basis points over May-June 2026.

ALL ABOUT FCNR (B) DEPOSITS

- FCNR (B) deposits are foreign currency fixed deposits offered by banks in India to Non-Resident Indians (NRIs), Persons of Indian Origin (PIO) and Overseas Citizens of India (OCI)
- Since an FCNR (B) deposit is held in a foreign currency, there is no currency fluctuation risk through the period of the deposit.
- In June 2026, the Reserve Bank of India announced a special window to attract foreign currency deposits to shore up foreign exchange reserves, at a time the rupee was under immense pressure against the US dollar due to the US-Iran conflict and heavy selling by foreign portfolio investors.



- FCNR (B) accounts let NRIs, PIOs and OCIs maintain fixed deposit in freely convertible foreign currencies for a specified tenure.
- RBI also allowed banks mobilising FCNR (B) deposits to extend loans against it to non-residents.
- The deposits and interest earned on them are tax-free in India.
- The special window for FCNR (B) deposits was to be open till September 30, but was closed a month earlier, amid a surge in deposits.
- Banks were allowed to raise foreign currency deposits and swap them into rupees at a concessional rate. The RBI would even bear the hedging cost.

On the other hand, noting that lumpy inflows can help stabilise the rupee, Abheek Barua, visiting professor at Ashoka University and former chief economist at HDFC Bank, says the rupee may have moved to the 100 level but for the FCNR(B) move.

"The RBI move (special swap window) helped stabilise the rupee at a time there was so much pressure on the rupee and capital inflows were seen to be a problem," says Barua.

RBI'S FCNR(B) MOVE

In June, when RBI announced the FCNR(B) scheme, it came in the backdrop of resumption of the US-Iran war, surging crude oil prices, rise in India's import bill, and the rapid fall in the rupee against the US dollar. Foreign portfolio investors (FPIs) were also heavily selling in the Indian market, adding to the pressure on the rupee, which slumped to a record low of 96.96 against the greenback on May 20.

Under the special concessional